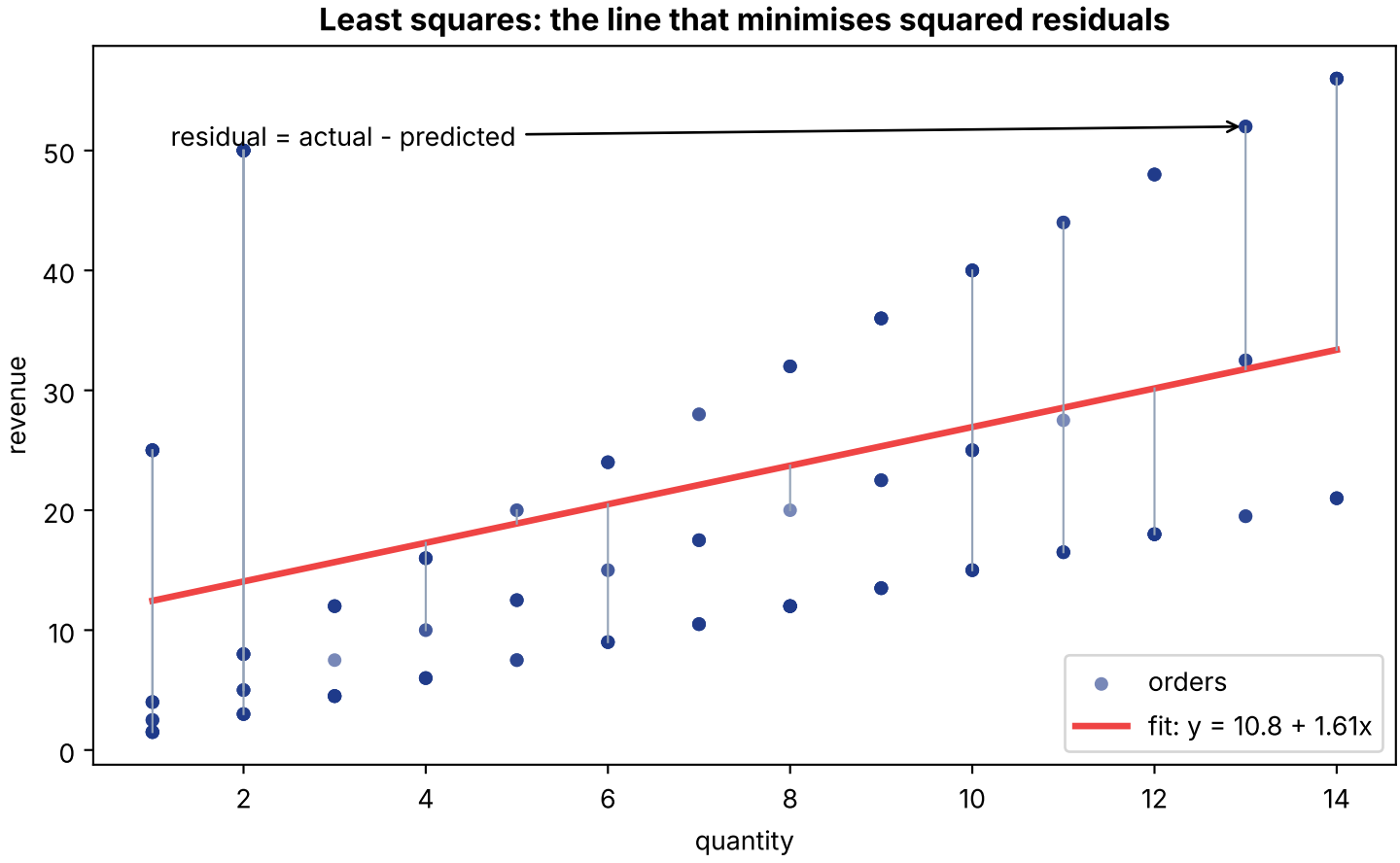
Least squares: the line that minimises squared residuals
residual = actual - predicted
revenue
quantity
0
10
20
30
40
50
2
4
6
8
10
12
14
orders
fit: y = 10.8 + 1.61x